

SKIRMISHES WITH SEBI



In May 2007, the Securities and Exchange Board of India (Sebi) barred certain promoter entities of Adani Export



Barred from market for two years for abetting Ketan Parekh in manipulating shares



The Securities Appellate Tribunal (SAT) stayed the Sebi order in July 2007



Adani Group companies filed for consent and the matter was settled with Sebi

payments on dollar-denominated bonds was also disseminated promptly by the Adani Group. As things stand, the repayment schedule is on track (*See table 'Bonds Due for Repayment'*) with around \$2 billion needing to be repaid by the end of next year. Just on the basis of the ₹30,000-crore cash on the books, meeting that is not a challenge.

Further, the group announced that it is mulling an independent assessment in terms of compliance and governance to ensure all transactions and disclosures have been made as per the requisite regulations. It is also planning to prepay \$500 million worth of loans that are due in March, which relate to a part of the loan raised to finance the purchase of Holcim's cement assets in India. The group was earlier mulling refinancing the loans, but then thought it best to prepay given the current scenario. The latest financial numbers of some of the group companies have also highlighted strong guidance, future cash flows and the quantum of debt that will be reduced over time—all aimed at addressing the concerns in the domestic and international markets.

Speaking of domestic markets, banks are expected to be reticent till there is clarity on the group's financial structure. "There is a good chance that the group will go into consolidation mode for the next 1.5-2 years. Diluting stakes in profitable companies may be a sensible and viable option," says a leading investment banker who

wishes to remain anonymous. He says it is a good opportunity to change the composition of the board and just up the game on corporate governance.

Analysts point out that Adani's play is in the infrastructure space, which is one that has serious entry barriers. "He is the only pure-play infrastruc-

ture group in India. For many years, one has seen how the likes of GMR, GVK and Lanco have struggled, and Adani is the only survivor," says Deven Choksey, Promoter and MD of KRChoksey Group, a wealth management firm. He picks out the government's thrust on the sector through the allocation of

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"The key for the group is to strengthen the balance sheet and probably cut down on the number of projects in order to reduce the debt. So, now is not the time to raise debt but [to] reduce it"

MARK MOBIUS
FOUNDER, MOBIUS CAPITAL PARTNERS LLP



"A valuation of Adani Enterprises with upbeat assumptions on revenue growth and operating margins... without factoring [in] the Hindenburg accusations... yields a value of about ₹945 per share"

ASWATH DAMODARAN
PROFESSOR, STERN SCHOOL OF BUSINESS, IN A BLOG POST